



NEW MODEL 2018

Accounting and Finance

Ermi E learning

1) Allocation of indirect costs is a vital part of determining product costs. All of the following are true about indirect costs except one

- a. Are not easily traced to products or services
- b. May be included in manufacturing overhead
- c Vary with the selection of the cost object
- d. May be included in prime costs

D

2) When a purchase order of contract is issued as authorized by an appropriation, the journal entry to recognize this commitment includes

- A. A credit to voucher payable
- B. A credit to appropriations
- C. A debit to reserve for encumbrances
- D. A debit in encumbrances

EncumbranceXXX

Reserved for encumbrance ...xx

D

3) Which of the following transaction affects equity account?

- A. Payment of account payable
- B. Purchase equipment on cash
- C. Providing service on account
- D. Purchase supplies on account

C

4) What is the primary measurement basis for biological assets under IAS 41?

- a) Cost model
- b) Revaluation model
- c) Fair value less costs to sell
- d) Net realizable value

C

5) Except one, all of the following are the need for ethical standards in the auditing profession:

- A. To build the public confidence
- b. To judge the quality of audit work
- c. To function in an orderly manner
- d. To prepare financial statements

D

6) When a property is transferred from owner-occupied property to investment property under the fair value model, the difference between the fair value and its carrying amount at the date of transfer is treated as:

- a. An expense in the income statement.
- b. A revaluation in accordance with IAS 16 Property, Plant and Equipment.
- c. An adjustment to retained earnings.
- d. Revenue in the income statement.

B

7) The likelihood of material misstatements of an account balance before considering the effectiveness of internal control is called

- A. Acceptable audit risk
- B. Substantive risk
- C. Inherent risk
- D. Material risk

C

8) Which type of debt is incurred by the government from domestic sources?

- A. Private debt
- B. Internal debt
- C. External debt
- D. Corporate debt

B

9) Which basis of accounting used for preparing statements of Cash flow

- A. Income basis of accounting
- B. Accrual basis of accounting
- C. Cash basis of accounting
- D. Modified basis of accounting

C

10) Which of the following is the disadvantage of corporation

- a. Additional taxes
- b. Ability to acquire capital
- c. Continuous life
- d. Separate legal existence

A

11) The difference between current financial resources and the claims against the current financial resources reported

- a. General fund
- b. Fund balance
- C. Expenditures
- d. Encumbrance

B

12) For the relevant range, which of the following statements regarding graphs of fixed and variable costs is true?

- a. Fixed costs are zero when production is equal to zero
- b. Variable costs can be represented by a straight line where costs are the same for each data point
- C. Variable costs are zero when production is equal to zero.
- d. Fixed costs can be represented by a straight line starting at the origin and continuing through each data point

C

13) In a business combination, the acquirer is the party that

- a Concedes control over the acquired entity
- b. Obtains control of other entitles
- c. Receives the acquisition consideration
- D. Sells the acquired entity

B

14) GZ Company manufactures toilet seats. During December 2024, the actual cost per hour of labor employed decreased by 5%. This price decline would result in

- a. Favorable labor price variance
- b. Favorable material price variance
- c. Unfavorable labor price variance
- d. Favorable labor efficiency variance

A

15) According to Ethiopian Income Tax Proclamation in general which of the following income is exempted from income tax?

- a Income from allowance
- b. Income from scholarship and grants
- c. Income from bonus
- d. The value of fringe benefit

B

16) From the following Finance institution Which one allocates saving efficiently in an economy to ultimate's users either for investment in real asset or for consumption

- A) Merchandise Enterprise
- B) Manufacturing Company
- C) Bank
- D) Insurance

C

17) What type of regulation was historically used to limit the ability of commercial banks to engage in certain non-banking activities, such as investment banking?

- a. Geographical restrictions
- b. Interest rate ceilings
- c. Permissible activities for commercial banks
- d. Capital requirements

C

18) Which of the following statements is incorrect?

- a. Accounting for income taxes, which is typical for business organizations, is usually not appropriate for government and NFPs.
- b. Evaluating the performance and operating results using profitability indicators is impossible for all types of governmental and &NFP organizations
- c. Fiscal accountability relates to raising and spending of resources generally within a budgetary period of one year.
- D. Private businesses seek to increase their wealth for the benefit of their owners

B

19) Test of control for the acquisition and payment cycle is divided into

- a. Test of acquisition and incurred
- b. Test of acquisition and expenditure
- c. Test of acquisition and disbursement
- d. Test of acquisition and Payment

D

20) Which of the following is not role of financial system in economic development?

- A. Reduces the transaction costs
- B. It links the savers and investors.
- C. Reduce the exposure of investor to risk
- D. Reduce symmetric Information

D

21) A gain or loss arising on the initial recognition of a biological asset and from a change in the fair value less estimated point-of-sale costs of a biological asset should be included in:

- a. A capital reserve within equity.
- b. The statement of recognized gains and losses.
- c. The net profit or loss for the period.
- d. A separate revaluation reserve.

C

22) Which audit type is used to evaluate the efficiency and effectiveness of the organization operating procedures and method?

- a. Financial statement audit
- b. Compliance audit
- c. Performance audit
- a. Special Audit

C

23) Which of the following best illustrates the concept of sampling risk?

- a. An auditor may fail to recognize errors in the documents from the sample
- b. A randomly chosen sample may not be representative of the population as a whole for the characteristic of interest
- c. The documents related to the chosen sample may not be available to the auditor for inspection
- d. An auditor may select audit procedures that are not appropriate to achieve the specific objective

B

24) Which of the following is an attribute of conservative current asset financing policy?

- a. Increases the probability that a firm will experience financial distress
- b. A large investment in cash and marketable securities.
- c. Keep relatively little in marketable securities.
- d. A relatively little investment in net working capital.

B

25) Which code of conduct indicates practitioners or auditor not to disclose secret information obtained in any type of engagement without the consent of the client?

- a. Confidential client information
- b. Contingent fees Code of conduct
- c. Independence
- d. Integrity and objectivity

A

26) Which inventory costing method result in the cost of goods sold is from the recent purchases?

- a. Last-in-first-out
- b. Weighted average cost
- c. First-in-first-out
- d. Specific identification

A

27) On April 15 of the current year ABC Company sold merchandise on account to XYZ Company for Br. 1,000, terms 2/10, n/30. On April 20, XYZ Co. returns merchandise worth Br. 300 to ABC Co.

On April 24, payment is received from XYZ Co. for the balance due.

What is the amount of cash received?

- A. Br. 980
- B. Br. 994
- C. Br. 686
- D. Br. 700

$$1000 - 300 = 700$$

$$700 * 0.02 = 14 \text{ Discount amount}$$

$$700 - 14 = 686 \text{ Net receiving}$$

C

28) Which of the following does the Conceptual Framework identify as the primary users of general purpose financial reports?

- A. employees, investors and trade union representatives
- B. existing and potential investors, lenders and other creditors
- C. lenders and other creditors and customers
- D. existing and potential investors, government agencies and the general public

D

29) Suppose an asset with a cost of \$80,000 and residual value of \$10,000; which had been 60% depreciated was sold for \$30,000 cash. The company recognizes:

- A. Gain of \$2,000
- B. Gain of \$8,000
- C. Loss of \$8,000
- D. Loss of \$2,000

D

$80000 \times 0.6 = 48,000$ Accumulated depreciation

$BV = 80000 - 48,000 = 32000$

$PV = 30,000$

LOSS B/C $PV < BV$

30) Pacific Company leased a building with adjoining land for 20 years. The fair value of the lease-held interests in the building and the land are respectively Br. 4,200,000 and Br.5,000,000. Title to the land is not expected to pass at the end of the lease term.

What amount should be recognized in relation to the finance lease in the financial statement of Pacific Company?

- A. \$9,200,000.00
- B. \$4,200,000.00
- C. \$5,000,000.00
- D. \$800,000.00

B

31) Queens' Company purchases 100 PCs in exchange for issuing 5,000 of its ordinary shares. The selling price for each PC is \$250., and the shares have par value of \$4.00 each. The journal entry to record receipt of the PCs in exchange for the issue of the ordinary shares is:

- A. Equipment: Computer25,000
- Ordinary Share Capital 25,000
- B. Equipment: Computer20,000
- Ordinary Share Capital 20,000
- C. Equipment: Computer25,000
- Ordinary Share Capital 20,000
- Share Premium Account 5,000
- D. Equipment: Computer20,000
- Ordinary Share Capital 10,000
- Share Premium Account 10,000

C

32) The basis for preparation of consolidation is?

- A. Regulatory requirements
- B. 50% ownership interest
- C. Control
- D. 20% ownership interest

C

33) The acquisition cost of M- Corporation's investment in N- Company's 80% outstanding common stock was Br. 900,000, and the current fair value of N's identifiable net assets, was Br. 937,500.

- Goodwill of the subsidiary and non-controlling interest in net assets of subsidiary are, respectively?**

- A. Br. 150,000 and Br. 250,000
- B. Br. 150,000 and Br. 187,500
- C. Br. 15,000 and Br. 37,500
- D. Br 187,500 and Br. 225,000

$$CT = 900,000$$

$$FV \text{ NET ASSET} = 937,500$$

$$GOODWILL = 900,000 - (937,500 * 0.8) = 150,000$$

$$NCI = 937,000 * 0.2 = 187,500$$

B

34) Home office account is debited for:

- A. Merchandise provided to the branch by the HO
- B. Plant assets acquired by the branch
- C. Cash provided to the branch by the HO
- D. Other assets received from the HO

B

35) The David Corporation manufactures X, Y, and Z from a joint process. May production is 2,000 X; 3,500 Y; and 4,000 Z. Respective per unit selling prices at split off are Br.30, Br.20, and Br.10.

Joint costs up to the split off point are Br.75,000.

• If joint costs are allocated based upon the sales value at split off, what amount of joint costs will be allocated to the X Product?

- A. Br.30,882
- B. Br.26,471
- C. Br.17,647
- D. Br.28,125

B

$$X = 2000 * 30 = 60000$$

$$Y = 3500 * 20 = 70000$$

$$Z = 4000 * 10 = \underline{40000}$$
$$170,000$$

$$X = (60,000 / 170,000) * 75,000 = 26471$$

36) Mary works at a convenience store and is paid \$400 a week. She considers enrolling in a college to earn a degree. She thinks she will have to quit her job if she goes to college. The wages that she will lose if she chooses college are:

- A. Sunk cost
- B. Opportunity cost
- C. Prime cost
- D. Differential cost

B

37) The following data relate to direct materials costs for Department B:

- **Actual costs 4,600 pounds at \$5.50**
- **Standard costs 4,500 pounds at \$6.00**
- **What is the direct materials price variance?**
- A. \$2,250 favorable
- B. \$2,250 unfavorable
- C. \$2,300 favorable
- D. \$1,700 unfavorable

$$\text{MPV} = (\text{AP} - \text{SP})\text{AQ}$$

$$(5.5 - 6) * 4600 = 2300 \text{ F}$$

C

38) The discount rate that equates the present value of a project's expected cash inflows to the present value of the project's costs: or, equivalently, the rate that forces the NPV to equal zero.

- A. Net Present Value
- B. Internal Rate of Return
- C. Payback Period
- D. Profitability Index

B

39) A company fails to record the depreciation expense for the current period. What is the effect on the financial statements?

- a. Assets are overstated, and net income is understated.
- b. Assets are understated, and owner's equity is overstated.
- c. Assets are overstated, and owner's equity is overstated.
- d. Liabilities are understated, and assets are overstated.

C

40) Sunshine Traders, an import export firm in Ethiopia, imported textile items 2018 E C. The cost, insurance, and freight of goods imported amount to Birr 320,000., 80,000., and 80,000. respectively. In addition, the Sunshine Traders also pays Br. 50,000 customs duties.

• How much does the firm pay as excise tax on this import? Hint tax rate for Textile items 10%)

- A. 53, 000
- B. 480,000
- C. 430, 000
- D. 980,000

A

$$\text{CIF} = 320,000 + 80,000 + 80,000 = 480,000$$

$$\text{CD} = 50,000$$

$$\text{Excise tax} = (480,000 + 50,000) * 0.1 = 53,000$$

41) An accounting system that serves as an essential device to prevent overspending of general fund appropriations is called:

- A. Modified Accrual Accounting
- B. Cash basis Accounting
- C. Encumbrance Accounting
- D. Accrual Basis of Accounting

A

42) Under IFRS (International Financial Reporting Standards), when should a provision be recognized in the financial statements?

- a. When there is a possible obligation arising from past events.
- b. When an outflow of resources is possible, but not probable.
- c. When the obligation is probable and the amount can be reliably estimated.
- d. When the obligation is remote.

C

43) The receipt of cash from customers to whom the goods have already been sold on credit would be recorded by a:

- a. debit to cash account & credit to accounts payable account
- b. debit to cash account & credit to accounts receivable account
- c. debit to accounts payable account & credit to cash account
- d. debit to accounts receivable account and credit to cash account

B

44) The amount of retained earnings at the end of a period is equal to:

- a. Retained earnings at the beginning of the period + Dividends declared – Net income
- b. Net income + Dividends declared – Retained earnings at the beginning of the period
- c. Retained earnings at the beginning of the period + Net income – Dividends declared
- d. Retained earnings at the beginning of the period + Net income – Operating expenses

C

45) The “Matching Principle” is best described as:

- a. An increase in the financing activities.
- b. The principle that revenue should be recorded when a resource has been earned.
- c. An increase in resources resulting from the sale of goods or the provision of services.
- d. The principle that expenses should be recorded in the period resources are used to generate revenues.

D

46) On October 1, 2010, Zane Corporation paid \$9,000 rent in advance. The rent per month is \$1,000. If Zane's accounting period ends on December 31, 2010, what will be reported on the financial statements?

- a. Rent Revenue of \$6,000 on its 2010 income statement
- b. Prepaid Rent of \$6,000 on its balance sheet at December 31, 2010
- c. Rent Expense of \$9,000 on its 2010 income statement
- d. Prepaid Rent of \$9,000 on its balance sheet at December 31, 2010

B

47) Which of the following best defines a liability according to accounting principles?

- a. A probable future economic benefit controlled by an entity as a result of past events.
- b. A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow of resources embodying economic benefits.
- c. Future probable inflow of economic benefits.
- d. An ownership interest in the entity.

B

48) Which of the following is the cornerstone (or most critical element) of the master budget?

- a. The sales budget
- b. The inventory budget
- c. The operating expenses budget
- d. The purchases and cost of goods sold budget

A

49) Under allowance method, the journal entry to record estimated uncollectible accounts expense is:

- a. Allowance for Doubtful Accounts Dr. & Uncollectible Accounts Expense Cr.
- b. Uncollectible Accounts Expense Dr. & Allowance for Doubtful Accounts Cr.
- c. Uncollectible Accounts Expense Dr. & Accounts Receivable Cr.
- d. Accounts Receivable Dr. & Uncollectible Accounts Expense Cr.

•

B

50) If demand of one year is 25,000 units, relevant ordering cost for each purchase order is \$210, carrying cost of one unit of stock is \$25 then economic order quantity will be.



Economic Order Quantity Formula = $\sqrt{\left(\frac{2SD}{H}\right)}$

- a. 678 packages
- b. 648 packages
- c. 658 packages
- d. 668 packages

B

$$\begin{aligned} \text{EOQ} &= \sqrt{\frac{2 \cdot D \cdot O}{H}} \\ 648 &= \sqrt{\frac{2 \cdot 25,000 \cdot 210}{25}} \end{aligned}$$

51) Which of the following is not an investing cash flow ?

a. purchase of marketable securities for \$25,000 cash

b. sale of land for \$28,000 cash

C

c. sale of 2,500 shares of common stock for \$15 each

d. purchase of equipment for \$500 cash

52) The following information belongs to Noor Merchandising Company:

- Net income: \$25,000
- Depreciation expenses: \$2,000
- Loss on sale of equipment: \$100
- Proceeds from sale of equipment: \$500
- Increase in accounts receivable: \$1,000
- Increase in accounts payable: \$2,000
- Decrease in inventory: \$400

• Based on the above information, the net cash provided by operating activities is:

a. \$29,000

b. \$28,500

c. 27,500

d. 24,300

B

NI.....	25,000
+ Deprecation	2000
+ Loss	100
- Increase AR	1000
+ Increase of AP.....	2000
+ Decrease of I.....	<u>400</u>
	28,400

53) Which of the following is not true about treasury stock?

- a. Shares held as treasury stock are not entitled to dividends
- b. Shares held as treasury stock are not entitled to assets upon liquidation
- c. Shares held as treasury stock include shares that has been retired or cancelled
- d. Shares held as treasury stock has no voting right

C

54) Authorization for accepting goods in the receiving department should be based on:

- A) Vendor Invoice.
- B) Requisition Request.
- C) Purchase order from the purchasing department.
- D) Vendor Statement.

A

55) The difference between the issuance price and the par value of a stock, when the issuance price is higher, is recorded in which account?

- A. Retained Earnings
- B. Share Premium (Additional Paid-In Capital)
- C. Common Stock (or Preference Stock)
- D. Revenue

B

56) Which of the following characteristics is unique to the Money Market compared to the Capital Market?

- A) It is primarily used for raising long-term funding for major infrastructure projects.
- B) It deals with financial instruments that have a maturity period of one year or less.
- C) It is the primary platform where initial public offerings (IPOs) take place.
- D) Its instruments, such as common stock, represent ownership in a corporation

B

57) Which of the following statements is true regarding Modigliani and Miller's Proposition I in a world without taxes?

- A. The value of a levered firm is greater than an unlevered firm.
- B. The value of a firm is independent of its capital structure.
- C. The value of a firm increases with the use of debt financing.
- D. The cost of equity increases as leverage increases, but WACC decreases.

B

58) When is a firm operating with the optimal capital structure?

- A. When the debt-equity ratio is minimized.
- B. When the weighted average cost of capital (WACC) is maximized.
- C. When the value of the firm is maximized.
- D. When the firm is all-equity financed.

C

59) To determine if a sample is truly representative, an auditor must:

- a. conduct multiple samples of the same population.
- b. never use sampling because of the expense involved.
- c. audit the entire population.
- d. use systematic sample selection

D

60) Which institution is typically responsible for mobilizing savings from individuals and pooling them for investment purposes?

- A. A local grocery store

B. A university

C. A commercial bank

D. A car manufacturer

C

61) A person deposits \$500 into a retirement account at the end of each year for 10 years. The account earns 6% interest compounded annually. How much will be in the account at the end of 10 years?

- A. \$5,000.00
- B. \$6,590.40
- C. \$6,280.00
- D. \$7,120.30

B

**Ordinary
Annuity
FV**

$$= \text{Pmt} \left[\frac{(1+i)^N - 1}{i} \right]$$
$$= 500 \left[\frac{(1+0.06)^{10} - 1}{0.06} \right]$$

62) When auditing accounts receivable, an auditor sends confirmations to customers to verify that the balances are valid.

Which assertion does this audit procedure primarily address?

- a. Rights and Obligations
- b. Presentation and Disclosure
- c. Valuation and Allocation
- d. Existence

D

63) When does adding a new asset to a portfolio provide the most significant diversification benefits?

- a. When the asset's returns are perfectly positively correlated with existing assets.
- b. When the asset's returns are negatively correlated with existing assets.
- c. When the asset has a high standard deviation.
- d. When the asset has a low expected return.

B

64) A company is preparing its financial statements and ensures that the information is free from bias and is not slanted towards a predetermined outcome. Which component of faithful representation is being applied?

- A. Completeness
- B. Free from error
- C. Neutrality
- D. Timeliness

C

65) A company reports a net income of \$5 million and pays out a total of \$2 million in dividends to its common shareholders. There are 1 million shares outstanding. What is the dividend payout ratio?

- (a) (20%)
- (b) (40%)
- (c) (25%)
- (d) (50%)

$$\text{DPO} = \text{Dividend} / \text{NI} = 2\text{M} / 5\text{M} = 0.4$$

B

66) An auditor is testing the valuation assertion for inventory. Which audit procedure would be most relevant?

- a. Observing the physical inventory count
- b. Tracing inventory costs to vendor invoices
- c. Examining sales contracts to assess net realizable value
- d. Reviewing the aging of inventory for obsolescence

B

67) Which schedule of the Ethiopian income tax law covers employment income tax?

- a. Schedule B
- b. Schedule C
- c. Schedule A
- d. Schedule D

C

68) Public finance is primarily concerned with financing which of the following?

- a. Private corporations
- b. Individual investments
- c. Government operations and public treasury
- d. Non-profit organizations

C

69) Which of the following best describes batch processing in an Accounting Information System?

- a. Transactions are recorded and processed immediately as they occur.
- b. Data is manually entered once a month.
- c. Financial statements are prepared annually.
- d. Transactions are grouped and processed periodically as a single unit.

D

70) Which of the following is considered a key component of an Accounting Information System?

- a. Marketing strategies
- b. The people who use the system
- c. Physical inventory of products
- d. Competitor analysis reports

B

An AIS typically includes people, procedures and instructions, data, software, information technology infrastructure, and internal controls and security measures. People are a vital component

71) Which of the following transactions would result in an increase of working capital?

- a. Issuing a \$10,000, 10-year bond with principal and interest due in 10 years.
- b. A declaration of dividends.
- c. Purchasing machinery with cash.
- d. Redeeming debentures.

A

72) Company C purchased 40% of the outstanding common stock of Company D on January 1, 2024, for Br200,000. Company D reported net income of Br50,000 and paid dividends of Br10,000 during 2024.

• What amount of income from the investment should Company C report in 2024?

- a. Br 50,000
- b. Br 20,000
- c. Br 10,000
- d. Br 4,000

B

Investment200,000

Cash200,000

Investment(0.4*50,000).20,000

Investment Income20,000

Cash4000

Investment4000

Investment balance

$200,000 + 20,000 - 4000 = 216,000$

73) Which of the following items is needed to determine the *required purchases* of direct materials in a budget period?

- a. Budgeted production in units
- b. Desired ending finished goods inventory
- c. Beginning accounts payable balance
- d. Factory overhead budget

A

74) Which of the following items is a non-cash expense that is typically ignored when preparing a cash budget?

- a. Wages payable
- b. Interest expense
- c. Depreciation
- d. Accounts payable

C

75) Suppose a lender provides a loan of \$1,000 for one year at a nominal interest rate of 5%. If the expected inflation rate over the year is 2%, what is the expected real interest rate the lender will earn?

$$R = N - I$$

$$= 5 - 2 = 3 \%$$

- a. 7%
- b. 5%
- c. 3%
- d. 2%

C

76) An individual invests \$5,000 in a savings account that offers a nominal interest rate of 8% per year. How much total money will be in the account at the end of five year? Under similar interest method

- a. \$2,000
- b. \$7000
- c. \$5,400
- d. \$5,800

B

$$I = p * \text{rate} * \text{time}$$

$$= 5000 * 0.08 * 5$$
$$= 2000$$

$$Mv = I + P = 2000 + 5000 = 7000$$

77) A service provider charges a client ETB 3,000 for services rendered, and this amount is exclusive of the 15% VAT.

How much is the total amount the client pays, including VAT?

- a. 3,000
- b. 3,150
- c. 3,450
- d. 3,500

$$\text{VAT} = 3000 \times 0.15 = 450$$

$$\text{WITH VAT PRICE} = 450 + 3000 = 3450$$

C

78) Which one of the following is often cited as a primary motive for mergers and acquisitions?

- a. Increasing competition in the market
- b. Achieving synergy (e.g., cost savings, increased revenue potential)
- c. Reducing a company's total debt
- d. Decreasing shareholder value

B

79) Which type of risk arises from the potential that a borrower will fail to meet their contractual obligations to a lender?

- a. Interest rate risk
- b. Liquidity risk
- c. Regulatory risk
- d. Credit risk

D

80) The risk that a depository institution may be unable to meet its short-term financial demands is known as:

B

- a. Interest rate risk
- b. Liquidity risk
- c. Regulatory risk
- d. Credit risk

81) pro forma financial statement is one that:

- a. is expressed as a percentage of something.
- b. projects future years' operations based on historical data and management's assumptions.
- c. is prepared for a specific purpose, such as a loan application.
- d. is required by GAAP/IFRS.

B

82) A company has an asset with a carrying amount of \$100,000. The expected future cash flows from the asset are \$85,000, and its fair value less costs to sell is estimated to be \$80,000. What is the impairment loss to be recorded?

- a. \$20,000
- b. \$15,000
- c. \$0
- d. \$5,000

B

CV = 100,000

FV Less cost to sale = 80,000

Value in use = 85,000

RV= 85,000

Impairment loss = $100,000 - 85,000 = 15,000$

83) Before adjusting its accounts on December 31, Year 2, Silver Co. had a \$20,000 balance in its accounts receivable account and a \$300 credit balance in its allowance for doubtful accounts account. Silver estimates uncollectible accounts to be 5% of accounts receivable. What is the correct journal entry to adjust the allowance for doubtful accounts?

- a. Debit Bad Debt Expense \$1,000 and credit Allowance for Doubtful Accounts \$1,000
- b. Debit Bad Debt Expense \$700 and credit Allowance for Doubtful Accounts \$700
- c. Debit Bad Debt Expense \$1,000 and credit Accounts Receivable \$1,000
- d. Debit Bad Debt Expense \$700 and credit Accounts Receivable \$700

B

$$0.05 * 20000 = 1000$$

AFDA = Credit balance 300

Bad Debt Expense ... 700

AFDA700

84) How should an entity measure equity-settled share-based payment transactions?

- - a. At the fair value of the goods or services received, unless that fair value cannot be reliably measured.
 - b. At the fair value of the equity instruments granted at the date of grant.
 - c. At the intrinsic value of the equity instruments at each reporting date.
 - d. At the fair value of the equity instruments at the date of settlement.

B

85) Under IFRS 16 , a lease is considered a capital lease if the present value of the minimum lease payments (PVMLP) is what percentage of the leased property's fair value?

- a. Equal to or more than 75%.
- b. Less than 90%.
- c. Equal to or less than 90%.
- d. Equal to or more than 90%.

D

86) Which of the following best describes the primary purpose of an assurance engagement?

- A. To provide tax planning advice to management
- B. To enhance the degree of confidence of intended users about the subject matter information
- C. To prepare financial statements according to accounting standards
- D. To offer management consulting services

B

87) Which step of the IFRS 15 revenue recognition model involves determining the amount of consideration an entity expects to be entitled to in exchange for transferring promised goods or services?

- a. Step 1: Identify the contract(s) with a customer
- b. Step 2: Identify the performance obligations in the contract
- c. Step 3: Determine the transaction price
- d. Step 4: Allocate the transaction price to the performance obligations

C

88) When is inventory written down to its net realizable value?

- a. When the cost is higher than the net realizable value.
- b. When the net realizable value is higher than the cost.
- c. Only at the end of the fiscal year.
- d. When the market value is stable.

A

89) Cindy, Inc., sells a single product. The company's most recent income statement is given below:

- Sales (10,000 units): Birr 800,000
- Less variable expenses: (440,000)
- Contribution margin: 360,000
- Less fixed expenses: (180,000)
- Operating income: 180,000
- What is the contribution margin per unit?
- a. 80
- b. 44
- c. 36
- d. 18

C

$$CM/U = CM/Q = 360,000 / 10,000 = 36$$

90) According to the Modigliani-Miller (M&M) theorem, in a perfect capital market (no taxes or transaction costs), why is dividend policy irrelevant to a firm's value?

- A) Because investors prefer capital gains over dividends.
- B) Because dividends are a legal obligation that cannot be avoided.
- C) Because an investor can create "homemade dividends" by selling a portion of their shares.
- D) Because higher dividends always lead to higher stock prices.

C

91) In the context of the Ethiopian financial sector, which institution is typically involved in providing small loans to low-income individuals?

- a) Commercial Banks
- b) National Bank of Ethiopia (Central Bank)
- c) Microfinance institutions
- d) Insurance companies

C

92) Which of the following is a characteristic of a periodic inventory system?

- a. Inventory purchases are debited directly to the Inventory account.
- b. Inventory records are updated after every single transaction.
- c. Inventory purchases are debited to a separate Purchases account.
- d. A physical count is not necessary under this system.

C

93) A company issues \$1,000,000, 5% bonds when the market interest rate is 6%. Interest is paid annually.

At what price were the bonds issued?

a. At a premium

b. At a discount

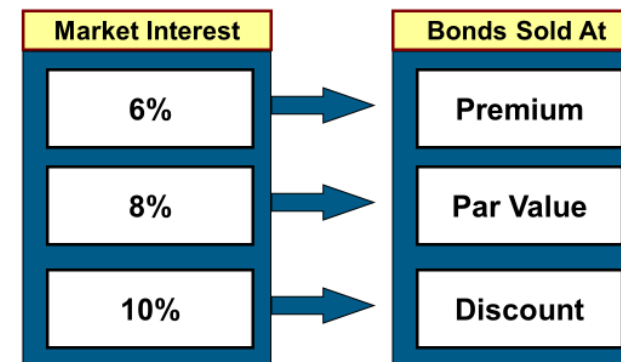
c. At par value

d. Cannot be determined

B

Valuation of Bonds Payable

Assume Stated Rate of 8%



94) Which of the following is the primary objective in the audit of the sales and collection cycle?

- a) To ensure all sales are for cash.
- b) To ensure all accounts receivable are collected within 30 days.
- c) To evaluate if the balances affected by the cycle are fairly stated in accordance with accounting standards.
- d) To identify potential new customers.

C

95) The accounting method used for investment in equity securities with less than 20% share ownership is:

- a. Fair Value Method.
- b. Full Consolidation Method.
- c. Equity Method.
- d. Cost method.

A

96) Under IFRS 11, which method is used to account for a joint operation?

- (a) Equity method.
- (b) Proportionate consolidation.
- (c) The operator recognizes its share of assets, liabilities, revenue, and expenses.
- (d) Fair value method.

C

97) Under the revised ISA 315, how is the Risk of Material Misstatement (RMM) assessed at the assertion level?

- A) As a single unified risk factor regardless of controls.
- B) By assessing inherent risk and control risk as two separate components.
- C) Solely based on the auditor's past experience with the management's integrity.
- D) By assuming all risks are "significant risks" until proven otherwise

B

98) A client engagement letter should include all of the following except

- (a) The objective and scope of the audit
- (b) The results of previous audits
- (c) The expected form and content of the audit report
- (d) Management's responsibilities

B

99) The first phase in planning an audit and designing an audit approach is to:

- (a) Set the preliminary judgment about materiality
- (b) Accept the client and perform initial audit planning
- (c) Understand the client's business and industry
- (d) Perform preliminary analytical procedures

B

3.3 Audit planning process

- ❑ The audit planning process begins when the auditor accepts an audit engagement and continues until the completion of the audit.
- ❑ Generally, the six procedures of audit plan are:
 1. Pre – plan
 2. Obtaining back ground information
 3. Obtaining information about client legal obligations
 4. Assess materiality & determine acceptable and inherent risk
 5. Understand the ICS & determine control risk
 6. Develop overall audit plan & program

100) What is the main source of profit for depository institutions?

- a. Fees charged for account maintenance
- b. Spreads between lending and borrowing rates
- c. Government subsidies
- d. Sale of insurance products

B

101) Which formula is used to calculate the Inventory Turnover rate?

- (a) Average Inventory / Cost of Goods Sold
- (b) Cost of Goods Sold / Average Inventory
- (c) Net Sales / Ending Inventory
- (d) Beginning Inventory / Purchases

B

102) Maintaining professional knowledge and skill at the level required to ensure that clients or employers receive competent professional service is an application of which principle?

- A. Integrity
- B. Objectivity
- C. Professional Competence and Due Care
- D. Confidentiality

C

103) How is a sales agency typically treated for accounting purposes compared to a separate legal entity?

- a. It is treated as a separate legal entity that operates independently.
- b. It maintains its own complete set of financial records and ledgers.
- c. Its transactions are integrated into the home office's accounting records.
- d. It operates as a subsidiary in a foreign country.

C

104) When an auditor determines that there is higher inherent risk for an account balance, what is one potential effect on the audit plan?

- a. The auditor will perform fewer substantive procedures.
- b. The auditor will increase the scope of tests of controls.
- c. The auditor will require more audit evidence for that specific account.
- d. The auditor will resign from the engagement.

B

105) Which of the following activities involves gaining an understanding of the client, identifying risk factors, developing an audit strategy, and setting planning materiality?

- a. Performing tests of controls.
- b. Executing substantive procedures.
- c. Issuing the audit report.
- d. Audit planning and risk assessment.

D

106) DAWIT is an employee in one of the Private organization in Ethiopia. His monthly salary is Birr 14,000. During Tir 2018 he worked on Weekends for 5 hours. Dawit is a member of the saving and credit association of the organization in which he works and decided to save 10% of her salary. He is expected to work 176 hours per month and he worked accordingly.

What is the amount of NET PAY related to Dawit's payment?

A. Birr 3128.4

B. Birr 5508.4

C. Birr 9872.05

D. Birr 9287.05

D

$$\begin{aligned}\text{Over time} &= \text{Bs/Nwh} * \text{Rate} * \text{Hour} \\ &= 14000/176 * 2 * 5 = 795.45\end{aligned}$$

$$\text{GE} = 14000 + 795.45 = 14795.45$$

$$\text{IT} = 14795.45 * 0.35 - 2050 = 3128.40$$

$$\text{PC} = 14000 * 0.07 = 980$$

$$\text{OTHER deduction} = 14000 * 0.1 = 1400$$

$$\text{TD} = 3128.4 + 980 + 1400 = 5508.4$$

$$\text{NEY PAY} = 14795.45 - 5508.4 = 9287.05$$

107) Which of the following describes a key characteristic of the Direct method?

- A) It allocates costs in a specific ranking order.
- B) It uses algebraic equations to find the true cost of service.
- C) It allocates service department costs only to production departments.
- D) It is more complex than the reciprocal method.

C

108) Which financial statement reports infrastructure assets like roads and bridges?

- a. Balance sheet (Governmental Funds)
- b. Statement of Net Position (Government-wide)
- c. Statement of Revenues, Expenditures, and Changes in Fund Balances
- d. Statement of Cash Flows (Governmental Funds)

B

109) Which of these costs would be debited directly to the Manufacturing Overhead account rather than Work in Process?

- A) Wages of the worker assembling the product
- B) Wood used to build a custom cabinet
- C) Salary of the factory supervisor (Indirect Labor)
- D) Cost of a specialized engine for a custom boat

C

110) When translating into the functional currency, foreign currency denominated monetary items must be translated using the:

- a. Historical exchange rate
- b. Average rate for the reporting period
- c. Rate current at end of reporting period
- d. Rate prevailing at the end of the last financial year

2.3 Reporting at subsequent year ends

The following rules apply at each subsequent year end.

- (a) Report foreign currency **monetary items** using the **closing rate**
- (b) Report **non-monetary items** (eg non-current assets, inventories) which are carried at **historical cost** in a foreign currency using the **exchange rate at the date of the transaction** (historical rate)
- (c) Report **non-monetary items** which are carried at **fair value** in a foreign currency using the exchange rates that existed **when the values were measured**.

C

111) What is the primary objective of creating a financial forecast?

C

- A) To guarantee future profits for stakeholders.
- B) To precisely replicate historical financial statements.
- C) To provide a forward-looking estimate of an entity's future financial performance and position based on assumptions and historical data.
- D) To satisfy mandatory IFRS 15 revenue recognition requirements

112) What is the correct journal entry on the branch's books when it receives a cash transfer of Br. 100,000 from the home office?

- a. Debited Cash 100,000 and credited Investment in Branch 100,000
- b. Debited Home Office 100,000 and credited Cash 100,000
- c. Debited Cash 100,000 and credited Home Office 100,000
- d. Debited Accounts Receivable 100,000 and credited Sales 100,000

C

113) What is the primary difference between Activity-Based Costing (ABC) and Traditional Costing?

- A) ABC uses a single plant-wide overhead rate.
- B) Traditional costing is more accurate for diverse product lines.
- C) ABC uses multiple cost pools and activity drivers to assign overhead.
- D) ABC treats all manufacturing costs as period costs

C

114) A project has an initial cost of Br. 100,000. It is expected to generate cash inflows of Br. 30,000 in year 1, Br. 40,000 in year 2, and Br. 50,000 in year 3. If the discount rate is 12%, what is the project's NPV?

- a. Br. 10,245.50
- b. Br. 11,364.90
- c. Br. 120,000.00
- d. Br. 0.00

$$\frac{30000}{(1+0.12)} + \frac{40000}{(1+0.12)^2} + \frac{50000}{(1+0.12)^3} - 100000$$

B

115) Which of the following statements is true about nonmanufacturing costs?

- a. They are also known as inventorial costs.
- b. They are expensed in the same period in which they are incurred.
- c. They are directly tied to the production of goods.
- d. They are part of the cost of goods sold.

B

116) Which of the following is the primary user group for governmental financial reports?

- a. Investors and creditors
- b. Citizens, legislative and oversight bodies, and investors/creditors
- c. Internal management only
- d. Federal government agencies

B

117) Which of the following best describes goodwill in accounting?

- a. A tangible asset that can be sold separately.
- b. The excess of the purchase price over the fair value of net identifiable assets acquired in a business combination.
- c. An asset that is amortized over its useful life.
- d. The value of a company's physical assets.

B

118) Which one of the following indicates an acquisition where both entities retain separate legal existence and a parent-subsidary relationship is formed?

C

- a. Statutory Merger
- b. Statutory Consolidation
- c. Acquisitions of common stock
- d. Consolidation

119) From a financial point of view, a company that decides to develop a new product is making what type of decision?

- A. Operating decision
- B. Financing decision
- C. Investment decision
- D. Capital structure decision

C

120) According to Modigliani and Miller's Proposition II with taxes, what happens to the cost of equity as a firm uses more debt?

- (a) Increases
- (b) Decreases
- (c) Remains the same
- (d) Becomes zero

A

121) A company has a Cost of Goods Manufactured of \$300,000. The beginning finished goods inventory was \$40,000, and the ending finished goods inventory was \$55,000. What was the Cost of Goods Sold (CGS) for the period?

$$\text{CGS} = \text{BI} + \text{CMG} - \text{EI}$$

- a. \$285,000
- b. \$315,000
- c. \$300,000
- d. \$270,000

$$= 40,000 + 300,000 - 55,000 =$$

A

122) Which of the following is NOT typically included in the initial journal entry to record the formation of a partnership?

- A) Debit to Cash
- B) Debit to Accounts Receivable (at net realizable value)
- C) Credit to Retained Earnings
- D) Credit to Partner's Capital

C

123) Which of the following is an example of a permanent difference between accounting income and taxable income?

- (a) Depreciation expense using different methods for accounting and tax purposes
- (b) Warranty expense accrued for accounting purposes but deducted for tax purposes when paid
- (c) Interest revenue from municipal bonds, which is tax-exempt
- (d) Installment sales accounted for by the accrual method for accounting purposes and the installment method for tax purposes

C

124) Which of the following statements is true regarding temporary differences?

- (a) They are differences that will never result in taxable or deductible amounts in the future.
- (b) They arise when revenues and expenses are recognized in different periods for accounting and tax purposes.
- (c) They relate to items that are non-taxable or non-deductible by tax laws.
- (d) They only affect the current tax expense for the period.

B

125) Under IFRS 3, how should an acquirer measure the identifiable assets acquired and liabilities assumed in a business combination at the acquisition date?

B

- a. At historical cost
- b. At fair value
- c. At carrying amount
- d. At the lower of cost and net realizable value

126) Which of the following best describes a restrictive (aggressive) working capital policy regarding current assets?

- a. Maintaining high levels of current assets relative to sales.
- b. Maintaining low levels of current assets relative to sales.
- c. Relying primarily on long-term financing for current assets.
- d. Aiming for high liquidity and low risk.

B

127) Indirect labor cost is a part of:

a. Prime costs

b. Direct labor costs

c. Manufacturing overhead costs

d. Period costs

C

128) Which of the following is the most reliable type of audit evidence?

- a. Inquiries of management
- b. Observation of inventory count
- c. External confirmation of bank balance
- d. Internal documentation

C

129) Proprietary funds use which basis of accounting?

- a. Modified accrual basis
- b. Cash basis
- c. Accrual basis
- d. Modified cash basis

C

130) Which of the following intangible assets is typically not amortized but tested for impairment instead?

- A. Copyrights
- B. Patents
- C. Trade name
- D. Goodwill

D

131) What is a budget deficit?

- (a) When government revenue exceeds government spending.
- (b) When government spending equals government revenue.
- (c) When government spending exceeds government revenue.
- (d) The total government debt.

C

132) Which accounting standard addresses the accounting treatment for leases?

- a. IFRS 11
- b. IFRS 12
- c. IFRS 16
- d. IFRS 10

C

133) When preparing a bank reconciliation, how are bank service charges handled?

- a. Added to the balance per bank
- b. Deducted from the balance per bank
- c. Added to the balance per book
- d. Deducted from the balance per book

D

134) Equipment is acquired on October 1, 2022, for £120,000. It has an estimated 5-year useful life and a residual value of £10,000.

• Using the straight-line method, how much depreciation expense should be recorded for the year ended December 31, 2022?

- a. £22,000
- b. £11,000
- c. £5,500
- d. £4,400

$$\begin{aligned} \text{SL} &= \frac{\text{COST} - \text{SV}}{\text{Estimated life}} \\ &= \frac{120,000 - 10,000}{5} \\ &= 22,000 \end{aligned}$$

$$(22000/12) * 3 = 5500$$

C

135) A business combination where the entities involved are in unrelated industries is known as a:

- (a) Vertical merger
- (b) Conglomerate merger
- (c) Horizontal merger
- (d) Short-form merger

B

136) In the absence of a specific agreement, how are profits and losses typically shared among partners?

- a. Based on the amount of time each partner works
- b. In proportion to their capital contributions
- c. Equally among all partners
- d. Based on the discretion of the managing partner

C

137) What is the term for the portion of a company's profit paid out to shareholders?

- a. Capital gain
- b. Dividend
- c. Interest
- d. Retained earnings

B

138) Which of the following fund types is used to account for resources that are legally restricted to the extent that only earnings, and not principal, may be used for purposes that support the reporting government's programs?

- a. Debt Service Fund
- b. Permanent Fund
- c. Special Revenue Fund
- d. Enterprise Fund

B

139) Which ratio is a measure of long-term solvency?

- a. Current ratio
- b. Asset turnover
- c. Total debt to total assets
- d. Price-earnings ratio

C

- 140) The following information has been projected for Sommers Inc. for March: The selling price is \$40 per unit. Each unit requires 4 pounds of material which costs \$6 per pound. If the company wants to produce 5,000 units in March and desires to have 10% of next month's production needs on hand at the end of the month,
- how many pounds of material must be purchased in March? (Assume April production needs are 6,000 units).
- A) 20,400 pounds
- B) 20,000 pounds
- C) 24,000 pounds
- D) 24,400 pounds

budgeted unit sales + targeted ending finished goods inventory - beginning finished goods inventory

A

$$(5000 \times 4) + 0.1 \times (6000 \times 4) - 0.1 \times (5000 \times 4) =$$

141) A company has 5,000 units of a product that cost \$5 per unit to produce. They can be sold "as is" for \$8 per unit. Alternatively, they can be processed further at an additional cost of \$3 per unit, after which they can be sold for \$12 per unit.

- What is the best decision for the company?
- A) Sell the units "as is" for \$8 each.
- B) Process the units further and sell them for \$12 each.
- C) Sell 2,500 units "as is" and process the rest further.
- D) The decision does not matter as the outcome is the same.

$5000 \times 8 = 40000$ Birr for sale at 8\$

Reworking cost = $5000 \times 3 = 15,000$

Sale at 12 = $5000 \times 12 = 60000$

Incremental revenue = $60000 - 15000 = 45000$

Rework and sale provide More revenue =
5000 birr

B

142) If a company has Sales of \$1,000,000, a Margin of Safety of 40%, and a P/V Ratio of 2/3, what is the Break-even Sales?

- (a) \$400,000.
- (b) \$600,000.
- (c) \$540,000.
- (d) \$360,000.

BEP Sale = Total Sales - (Total Sales × Margin of Safety %). \$1,000,000 - \$400,000 = \$600,000.

D

143) Which of the following best describes the primary focus of management accounting?

- (a) External reporting for shareholders.
- (b) Compliance with tax regulations.
- (c) Providing information for internal decision-making and control.
- (d) Preparing historical financial statements.

C

144) Which of the following would be classified as a Level 3 input in the fair value hierarchy?

- A) Quoted prices for identical assets in active markets.
- B) Quoted prices for similar assets in markets that are not active.
- C) Unobservable inputs for the asset or liability, such as an entity's own internal data or cash flow forecasts.
- D) Interest rates and yield curves observable at commonly quoted intervals.

C

145) If there is no principal market for an asset, how should the fair value be determined?

- A) Using the price in the market where the entity normally transacts.
- B) Using the price in the most advantageous market, which maximizes the amount received after considering both transaction and transport costs.
- C) Using the price in the most active market, ignoring all transaction costs.
- D) By averaging the prices of all accessible markets

B

146) What does the Contractual Service Margin (CSM) represent at the initial recognition of a group of insurance contracts?

- A) The expected claims and expenses that will be incurred.
- B) The compensation the entity requires for bearing non-financial risk.
- C) The unearned profit the entity expects to earn as it provides insurance services in the future.
- D) The current market value of the insurance liability.

C

147) In preparing consolidated financial statements, how should intra-group balances and transactions (such as sales between a parent and subsidiary) be treated?

- A) They should be reported as separate line items in the consolidated statements.
- B) They must be fully eliminated to reflect the group as a single economic entity.
- C) They should be adjusted only to the extent of the non-controlling interest's share.
- D) They are eliminated only if they result in an unrealized loss

B

148) Which of the following actions would successfully *reduce* the CCC?

- A) Increasing the average age of inventory.
- B) Decreasing the average payment period to suppliers.
- C) Accelerating the collection of accounts receivable.
- D) Increasing the average collection period for customers

C

149) What is "Greenmail" in the context of takeover defenses?

- A) Issuing a large dividend to make the company less attractive.
- B) The target company repurchasing its own shares from the hostile bidder at a premium price to end the threat.
- C) A legal injunction filed against the acquiring firm.
- D) Providing massive severance packages to top executives

B

150) What is the correct formula to calculate the total manufacturing cost for a specific job?

- A) Direct Materials + Direct Labor + Actual Manufacturing Overhead
- B) Direct Materials + Direct Labor + Applied Manufacturing Overhead
- C) Prime Costs + Period Costs
- D) Beginning WIP + Total Manufacturing Costs - Ending WIP

B

151) A firm has a total asset value of \$1 million and debt valued at \$400,000. If the after-tax cost of debt is 12% and the cost of equity is 15%, what is the WACC?

- A) 13.2%
- B) 13.8%
- C) 27.0%
- D) 14.4%

$$WACC = K_d * W_D + K_e * W_E$$

$$W_D = 400,000 / 1,000,000 = 0.4$$
$$W_E = 0.6$$

$$= 0.12 * 0.4 + 0.15 * 0.6 = 0.138$$

B

152) Using the CAPM approach, calculate the cost of equity if the risk-free rate is 10%, the market risk premium is 18%, and the company's beta is 1.25.

- A) 28.00%
- B) 32.50%
- C) 22.50%
- D) 18.00%

$$\text{CAPM} = \text{Risk free rate} + \text{beta}(\text{market rate} - \text{Risk free rate})$$

$$= 0.1 + 1.25(0.18)$$

$$\mathbf{B} = 0.325$$

153) Company X has the following unit costs:

- **Direct Materials: \$10 | Direct Labor: \$5 | Variable Overhead: \$3**
- **Fixed Overhead (Total): \$50,000 | Units Produced: 10,000**
- **What is the unit product cost under absorption costing?**
- A) \$18
- B) \$23
- C) \$15
- D) \$20

B

$$10 + 5 + 3 + 5 = 23$$

$$\text{Fixed cost per unit} = 50,000 / 10,000 = 5$$

154) A US-based company sells goods to a UK customer for £10,000. At the invoice date, £1 = \$1.20. When the customer pays 30 days later, the exchange rate is £1 = \$1.30. What is the realized gain or loss?

- A) \$1,000 Loss
- B) \$1,000 Gain
- C) \$12,000 Gain
- D) No gain or loss

B

AR.....\$12,000
Sale\$12,000

CASH\$13,000
AR.....\$12,000
Gain Fx\$1000

155) On a bank statement, why is a deposit often called a "credit"?

- A) Because the bank is lending you money.
- B) Because from the bank's perspective, your deposit is a liability they owe back to you.
- C) Because it increases your debt.
- D) Because it is a "credit" toward your next loan

B

156) A production department has 2,000 units in ending Work-in-Process (WIP) that are 100% complete for materials and 40% complete for conversion. During the month, 8,000 units were completed and transferred out. Using the weighted-average method, what are the equivalent units for conversion?

- A) 8,000 units
- B) 8,800 units
- C) 10,000 units
- D) 9,200 units

B

		(Step 1)	(Step 2)	
			Equivalent Units	
Flow of Production		Physical Units	Direct Materials	Conversion Costs
BWIP		0		
Unit started		8000		
Total		8,000		
Unit Completed		8,000	8,000	8000
EWIP		2000	2000	800 (2000*0.4)
Total		10000	10000unit	8800unit

157) Which financial statement provides a "snapshot" of a company's financial position at a specific point in time?

- A) Income Statement
- B) Statement of Cash Flows
- C) Balance Sheet
- D) Statement of Shareholders' Equity

C

158) A company has Sales of \$5,000,000, Variable Costs of \$2,000,000, and Fixed Operating Costs of \$2,500,000. What is the Degree of Operating Leverage (DOL)?

- A) 6.0
- B) 2.0
- C) 1.2
- D) 0.5

A

$$\text{DOL}_{\text{Sales}} = \frac{\text{S-VC}}{\text{S- VC-F}}$$
$$\frac{5\text{M} - 2\text{M}}{5\text{M}- 2\text{M} - 2.5 \text{ M}}$$

159) On January 1, 2026, an entity grants 1,000 share options to each of its 10 directors. The options vest after 3 years. The grant-date fair value of each option is \$12. At the end of Year 1 (Dec 31, 2026), the entity expects that 2 directors will leave before vesting.

• What is the compensation expense for 2026?

• A) \$40,000

$$1000 * 8 * 12 * 1/3 = 32,000$$

• B) \$32,000

• C) \$120,000

• D) \$96,000

B

160) Which of the following is a primary objective of public finance?

- A) Profit maximization
- B) Individual welfare
- C) Maximum social advantage
- D) Minimization of tax revenue

C

161) Which of the following best describes "Social Responsibility" of a business?

- A) The obligation of business to act in ways that benefit society.
- B) The requirement to pay the highest taxes possible.
- C) Avoiding all competition.
- D) Moving all operations to a different country.

A

162) The "Expectations Theory" of the term structure states that long-term interest rates are determined by:

- A) The supply and demand in segmented markets
- B) The average of current and expected future short-term interest rates
- C) The default risk of corporate bonds
- D) The amount of gold held by the central bank

B

163) A construction firm has a \$10,000,000 contract. At the end of Year 1, they have incurred \$3,000,000 in costs, and the total estimated costs for the entire project are \$8,000,000. Using the cost-to-cost method, how much revenue should be recognized for Year 1?

- A. \$3,000,000
- B. \$3,750,000
- C. \$8,000,000
- D. \$10,000,000

Step 1: Calculate % Complete: $\$3,000,000 \div \$8,000,000 = 37.5\%$.

Step 2: Calculate Revenue: $37.5\% \times \$10,000,000 = \$3,750,000$.

B

164) What is a "contingent liability" that is usually disclosed in the notes rather than recognized on the balance sheet?

B

- A. A loan that has already been fully repaid.
- B. A potential obligation, such as a pending lawsuit, where the outcome is not yet certain.
- C. Taxes that are definitely owed to the government next month.
- D. Salaries that employees have already earned but not yet been paid

165) In a "sell or process further" decision, how should previously incurred joint costs be treated?

- A. As relevant costs, because they must be recovered.
- B. As variable costs that change with production volume.
- C. As sunk costs that are irrelevant to the decision.
- D. As opportunity costs of the alternative product.

C

166) What is the primary characteristic that distinguishes a by-product from a joint product?

- A. By-products have relatively minor sales value compared to the main products.
- B. By-products are produced in much larger quantities.
- C. By-products never require further processing.
- D. By-products are the only products that have a split-off point.

A

167) Which of the following best describes the single-rate cost-allocation method?

- A. It separates costs into fixed and variable pools before allocation.
- B. It allocates costs based strictly on the actual costs incurred at the end of the period.
- C. It uses different allocation bases for different cost pools.
- D. It makes no distinction between fixed and variable costs and uses one rate per unit of the allocation base.

D

168) If an auditor discovers a high number of deviations during Tests of Controls, how will this most likely affect the Substantive Testing phase?

- A. Substantive testing will be decreased.
- B. Substantive testing will be shifted to an earlier interim date.
- C. The auditor will increase the extent (sample size) and nature of substantive testing at year-end.
- D. The auditor will rely on management's representation letter instead.

C

169) In auditor is performing a test where they select a sample of items from the physical inventory in the warehouse and then check to see if those items are included in the inventory listing (ledger). Which assertion is being tested?

- A. Existence
- B. Completeness
- C. Valuation
- D. Rights and Obligations

B

170) A company holds a debt investment classified as Available-for-Sale (AFS). At the end of 2026, the fair value of the bond increases by \$5,000. How should this increase be reported?

C

- A. As a gain on the Income Statement.
- B. As a direct increase to Retained Earnings.
- C. As Other Comprehensive Income (OCI) in the Equity section of the Balance Sheet.
- D. It should not be reported until the bond is sold.

171) A company's static budget (based on 10,000 units) shows variable costs of \$50,000. The company actually produces 12,000 units and incurs \$62,000 in variable costs. What is the flexible-budget variance for variable costs?

$$\text{FBV} = \text{Actual VC} - \text{Flexible Budget Variance}$$

- A. \$12,000 Unfavorable
- B. \$2,000 Unfavorable
- C. \$2,000 Favorable
- D. \$10,000 Unfavorable

$$= 62,000 - (5 \times 12,000) = 2000 \text{ U}$$

B

172) Which statistical measure is used to quantify a security's systematic risk relative to the overall market?

- A. Standard Deviation
- B. Alpha
- C. Beta
- D. Variance

C

173) CVP analysis relies on several key assumptions. Which of the following is a primary assumption of CVP analysis?

- A. All costs are classified as either purely manufacturing costs or purely non-manufacturing costs.
- B. The behavior of revenues and costs is linear throughout the relevant range.
- C. Inventory levels fluctuate significantly throughout the period.
- D. All variable costs are fixed in the short term.

B

174) A company purchases land and a building for a single lump sum of \$500,000. The independent appraisal values are \$300,000 for the land and \$450,000 for the building. What is the amount capitalized to the Building account?

- A. \$500,000
- B. \$450,000
- C. \$300,000
- D. \$300,000

$$\text{Land} = \frac{300,000}{750,000} * 500,000 = 200,000$$

$$\text{Building} = \frac{450,000}{750,000} * 500,000 = 300,000$$

D

175) The initial cost of a fixed asset should include all expenditures necessary to acquire the asset and:

- A. Place it into its intended condition and location for use.
- B. Train the employees who will operate the asset.
- C. Cover future maintenance costs for the next five years.
- D. Pay for marketing campaigns related to the new asset

A

176) NThe "ability-to-pay" principle is most closely associated with which tax system?

- A) Regressive tax
- B) Proportional tax
- C) Flat tax
- D) Progressive tax

D

177) Which of the following is generally considered a "spontaneous" source of funds in the AFN formula?

- A) Notes payable.
- B) Accounts payable.
- C) Long-term bonds.
- D) Common stock.

B

178) Under the Proclamation 1395/2017 ow many categories of taxpayers are officially recognized in Ethiopia?

- A) Three (A, B, and C)
- B) Two (A and B)
- C) Four (Large, Medium, Small, and Micro)
- D) Five (Based on regions)

B

179) Which authority is responsible for licensing new "Investment Banks" and "Securities Dealers" in Ethiopia?

- A) National Bank of Ethiopia
- B) Ethiopian Capital Market Authority (ECMA)
- C) Ministry of Innovation and Technology
- D) Ethiopian Securities Exchange (ESX)

B

180) What is the minimum capital requirement set by the NBE for foreign investors seeking to establish a bank subsidiary in Ethiopia as of late 2025?

- A) ETB 500 Million
- B) ETB 2 Billion
- C) ETB 5 Billion
- D) ETB 10 Billion

C

181) When measuring the fair value of a non-financial asset, IFRS 13 requires consideration of:

- A) The intended use by the specific entity.
- B) The historical cost adjusted for inflation.
- C) The lowest cost of disposal.
- D) The highest and best use of the asset from a market participant's perspective.

D

182) The "Income Approach" measures fair value by:

- A) Using prices generated by market transactions for identical assets.
- B) Converting future amounts (like cash flows) to a single current discounted amount.
- C) Estimating the current replacement cost of an asset's service capacity.
- D) Summing the historical costs of production.

B

183) Heavy excise taxes on products like tobacco and alcohol are primarily used to achieve which objective?

- A) To maximize government profit from harmful substances.
- B). To simplify the tax collection process.
- C) To encourage the export of these products.
- D) To discourage consumption of "demerit" goods for public health

D

184) Which statement best describes the primary difference between simple and compound interest?

- A) Simple interest is earned on the principal plus accumulated interest.
- B) Compound interest is earned only on the principal.
- C) Simple interest always earns more than compound interest over the same period.
- D) Compound interest earns interest on both the principal and the accumulated interest.

D

185) The primary objective of IPSAS is to improve the quality of general-purpose financial reporting by public sector entities, leading to:

- A) Higher tax collection rates.
- B) Better informed assessments of resource allocation and increased transparency/accountability.
- C) Immediate profitability for government departments.
- D) Reduced government spending.

B

186) In Ethiopia, which body oversees the implementation of IPSAS and IFRS?

- A) Ministry of Revenue
- B) Accounting and Auditing Board of Ethiopia (AABE)
- C) Ministry of Finance
- D) Commercial Bank of Ethiopia

B

187) NWhich of the following revenue sources is exclusively reserved for the Federal Government of Ethiopia?

- A) Rental income tax on private properties.
- B) Land use fees.
- C) Duties, taxes, and other charges on imports and exports.
- D) Personal income tax of regional government employees.

C

188) An option that gives the holder the right, but not the obligation, to **sell** an asset at a set price is a:

- A) Call option.
- B) Put option.
- C) Forward option.
- D) Futures option.

B

189) How does the Conceptual Framework define "Equity"?

- A) The total market value of the company's shares.
- B) The total amount of cash held by the entity.
- C) The residual interest in the assets of the entity after deducting all its liabilities.
- D) The sum of all income and expenses for the period

C

190) In many jurisdictions, including Ethiopia, the auditor responsible for auditing government agencies and state-owned enterprises to ensure the proper use of public funds is known as the:

- A) Forensic Auditor.
- B) Tax Auditor.
- C) Auditor General.
- D) External Consultant.

C

191) Company XYZ has a **net profit margin of 10%**, a **total asset turnover of 2.0**, and an **equity multiplier of 1.5**. What is its ROE?

- A) 15%
- B) 20%
- C) 30%
- D) 13.5%

C

$$\text{ROE} = \text{NI} / \text{Total Equity}$$

$$\text{Net P M} = 10\% \quad \dots \text{NI} / \text{sale}$$

$$\text{Asset Turn over} = 2 \quad \dots \text{Asset} / \text{Sale}$$

$$\text{Equity M} = 1.5 \quad \dots \text{Total Asset} / \text{Total Equity}$$

$$0.1 * 2 * 1.5 = 0.3$$

192) According to IAS 16, which of the following is a primary characteristic of Property, Plant, and Equipment?

- A) They are held for sale in the ordinary course of business.
- B) They are intangible assets with no physical substance.
- C) They are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes.
- D) They are expected to be used for a period of less than six months.

C

193) A and B decide to liquidate their business. Their balance sheet shows Assets of **\$100,000**, Liabilities of **\$20,000**, and Capital balances for A and B of **\$40,000 each** (sharing 50/50). They sell all assets for **\$90,000** cash. How much cash did B receive in the final settlement?

- A) \$30,000
- B) \$35,000
- C) \$40,000
- D) \$45,000

B

Realization = loss 10,000

A Capital = 40,000 - 5,000 = 35,000

B Capital = 40,000 - 5 = 35,000

194) On January 1, 2026, a company issues a **\$1,000,000**, 5-year bond with a **6%** coupon rate (paid annually). The market interest rate is **8%**, and the bonds are issued for **\$920,150**.

- Using the effective interest method, what is the interest expense recorded for the first year (December 31, 2026)?

- A) \$60,000
- B) \$73,612
- C) \$80,000
- D) \$68,812

B

Year	Cash paid	Effective interest rate	Amortization	Ending carrying value
0				920,000
Dec 31	60,000	73,612	13600	105,600

Cash Paid = $1,000,000 \times 0.06 = 60,000$

Effective interest rate = $920,000 \times 0.08 = 73612$

195) According to the new Proclamation 1395/2017 If a company's calculated income tax falls below a certain threshold of its annual turnover, it must pay a minimum tax. What is this rate?

- A) 1% of turnover
- B) 2% of turnover
- C) 2.5% of turnover
- D) 5% of turnover

C

196) If a bond is issued at a premium (above face value), the premium amount is typically:

- A) Recorded as revenue in the CPF.
- B) Ignored in governmental fund accounting.
- C) Reported as an Other Financing Source and often transferred to a Debt Service Fund.
- D) Subtracted from the construction expenditure.

C

197) A mining company purchases a site for **\$5,000,000**. It estimates that the site contains **1,000,000 tons** of ore and will have a residual value (salvage value) of **\$500,000**. If the company extracts **100,000 tons** in 2026, what is the depletion expense for the year?

- A) \$500,000
- B) \$450,000
- C) \$400,000
- D) \$550,000

B

$$\frac{5\text{M} - 500,000}{1,000,000} = 4.5$$

$$4.5 * 100,000 = 450,000$$

198) On January 1, 2024, Parent Co acquired 80% of Sub Co. At that date, Sub Co's retained earnings were \$100,000. On December 31, 2025, Parent Co reported retained earnings of \$500,000, and Sub Co reported retained earnings of \$250,000. What is the Consolidated Retained Earnings for the group?

- A) \$750,000
- B) \$620,000
- C) \$620,000
- D) \$600,000

B

Parent = 500,000

SUB RE = 150,000 * 0.8 = 120,000

620,000

199) In Ethiopia, which of the following is a regulated formal depository institution supervised by the National Bank of Ethiopia (NBE)?

- A) Iqub (Rotating Savings and Credit Association)
- B) Idir (Death Benefit Association)
- C) Microfinance Institution (MFI)
- D) Independent Foreign Exchange Bureau

C

200) An increase in the proportion of debt in a company's capital structure generally:

- A) Decreases the financial risk to shareholders.
- B) Increases the potential return on equity (ROE) but also increases financial risk.
- C) Has no effect on the company's cost of capital.
- D) Decreases the company's interest expense.

B

Which of the following are the three primary components of a financial system?

- A) Buyers, Sellers, and Products.
- B) Financial Markets, Financial Intermediaries, and Financial Assets.
- C) Central Banks, Commercial Banks, and Investment Banks.
- D) Revenue, Expenditure, and Debt.

B